

HSBC

The power comes from within

Reiterate Rating: BUY | PO: 168.80 HKD | Price: 146.30 HKD

Investor seminar: highlighting unparalleled franchise

HSBC management focused the investor seminar on showcasing the impressive franchise strength it has in Asia. In Hong Kong, it has number-1 market share in key product areas, including deposits, unsecured lending, and insurance, and a customer base that covers the vast majority of Hong Kong residents. In CIB, it banks c.95% of Asia's 200 largest companies, and in the Private Bank, it has relationships with 90% of the wealthiest families in the region. In our view, the franchise strength means that HSBC should be a major and natural beneficiary of structural trends, including Wealth, Chinese companies going global, and RMB internationalisation, etc. Importantly, HSBC is already highly profitable, and we forecast ROTE of c.20% in 2028, making it an attractive growth compounder. We reiterate our Buy rating and increase our PO to HKD168.80 (from HKD158.25) on higher profits.

Continue to drive innovation and customer satisfaction

With an organisation as large as HSBC, innovation and client centricity are by nature more difficult to achieve; however, local management has demonstrated considerable drive to achieve these goals with strong results. HSBC Hong Kong has the highest customer satisfaction and therefore a loyal customer base. In Retail as well as Wealth, management is developing a 'beyond banking' proposition – which focuses on embedding HSBC into customers' everyday lives. HSBC was the first bank to open branches 7 days a week to accommodate account opening demand, and the new wealth centres, which include on-site health and well-being services, are a differentiated offering.

Significant growth potential from deepening relationships

Given the breadth of its existing relationships, HSBC should naturally benefit from the wealth creation in the region by growing with its clients. In addition, there is further growth potential from deepening client relationships. On the wealth side, this should involve accelerating inhouse referrals from wholesale clients, increasing wealth penetration, and unlocking the growth potential of Hang Seng and on the CIB side expanding and acquiring clients growing into new markets.

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	23,597	26,244	29,889	32,760	34,949
EPS	1.29	1.51	1.76	1.98	2.18
EPS Change (YoY)	-0.1%	17.2%	16.8%	12.4%	10.1%
Consensus EPS (Visible Alpha)			1.62	1.85	2.02
Dividend / Share	0.87	0.75	0.83	1.00	1.08
Adjusted NAV PS	8.61	9.64	9.79	10.44	11.14
Valuation (Dec)					
P/E	14.52x	12.40x	10.61x	9.44x	8.57x
Price / NAV	2.18x	1.95x	1.91x	1.79x	1.68x
Net Yield	4.66%	4.02%	4.46%	5.35%	5.80%

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Refer to important disclosures on page 10 to 12. Analyst Certification on page 7. Price Objective Basis/Risk on page 7.

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Timestamp: 02 June 2026 12:31AM EDT

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02 June 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	HK\$158.25	HK\$168.80
2027E EPS	1.91	1.98
2028E EPS	2.10	2.18

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Stock Data

Price	146.30 HKD
Price Objective	168.80 HKD
Date Established	2-Jun-2026
Investment Opinion	B-1-7
52-Week Range	90.90 HKD-148.00 HKD
Mkt Val / Shares Out (mn)	320,760 USD / 17,183.6
Market Value (mn)	2,513,955 HKD
Average Daily Value (mn)	249.95 USD
Free Float	99.9%
BofA Ticker / Exchange	XHSBF / HKG
Bloomberg / Reuters	5 HK / 0005.HK
ROE (2026E)	17.0%

CIB: Corporate and Investment Bank

DCM: Debt Capital Markets

IWPB: International Wealth and Premier Banking

MNC: Multi National Corporates

NII: Net interest income

ROTE: Return on tangible equity

UHNW: Ultra high net worth

iQprofileSM HSBC

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(US\$ Millions)					
Net Interest Income	32,970	34,794	38,250	40,359	41,634
Net Fee Income	NA	NA	NA	NA	NA
Securities Gains / (Losses)	NA	NA	NA	NA	NA
Other Income	0	0	0	0	0
Total Non-Interest Income	34,464	36,226	37,024	39,059	41,517
Total Operating Income	67,434	71,020	75,275	79,419	83,151
Operating Expenses	(32,810)	(33,464)	(34,358)	(35,265)	(36,270)
Pre-Provision Profit	34,624	37,556	40,916	44,154	46,880
Provisions Expense	(3,414)	(3,850)	(4,679)	(4,090)	(4,196)
Operating Profit	NA	NA	NA	NA	NA
Non-Operating Income	1,098	164.00	2,786	2,895	2,895
Pre-Tax Income	32,308	33,870	39,024	42,959	45,580
Net Income to Comm S/Hold.	22,916	25,065	30,093	32,801	34,990
Adjusted Net Income (Operating)	23,597	26,244	29,889	32,760	34,949

Key Balance Sheet Data

Total Assets	3,017,048	3,233,034	3,338,278	3,429,138	3,530,373
Average Interest Earning Assets	2,099,285	2,260,485	2,362,144	2,460,196	2,556,243
Weighted Risk Assets	838,254	888,647	902,911	928,305	952,452
Total Gross Customer Loans	940,373	999,091	1,035,488	1,062,400	1,092,370
Total Customer Deposits	1,654,955	1,786,828	1,857,604	1,931,237	2,013,609
Tier 1 Capital	144,127	153,396	148,361	150,639	154,679
Tangible Equity	153,519	164,401	164,331	169,546	175,566
Common Shareholders' Equity	165,903	177,508	177,135	182,686	189,081

Key Metrics

Net Interest Margin	1.57%	1.54%	1.62%	1.64%	1.63%
Tier 1 Ratio	17.2%	17.3%	16.4%	16.2%	16.2%
Effective Tax Rate	22.6%	20.0%	19.5%	20.5%	20.3%
Loan / Assets Ratio	30.8%	30.6%	30.7%	30.7%	30.6%
Loan / Deposit Ratio	56.2%	55.3%	55.2%	54.5%	53.7%
Oper Leverage (Inc Growth - Cost Growth)	-0.3%	3.3%	3.3%	2.9%	1.8%
Gearing (Assets / Equity)	18.2x	18.2x	18.8x	18.8x	18.7x
Tangible Common Equity / Assets	5.1%	5.1%	4.9%	4.9%	5.0%
Tangible Common Equity / WRAs	18.3%	18.5%	18.2%	18.3%	18.4%
Revenue Growth	2.6%	5.3%	6.0%	5.5%	4.7%
Operating Expense Growth	2.9%	2.0%	2.7%	2.6%	2.9%
Provisions Expense Growth	-1.0%	12.8%	21.5%	-12.6%	2.6%
Operating Revenue / Average Assets	1.0%	1.1%	1.1%	1.2%	1.2%
Operating Expenses / Average Assets	-1.1%	-1.1%	-1.0%	-1.0%	-1.0%
Pre-Provision ROA	1.1%	1.2%	1.2%	1.3%	1.3%
ROA	0.8%	0.8%	0.9%	1.0%	1.0%
Pre-Provision ROE	20.8%	21.9%	23.1%	24.5%	25.2%
ROE	13.7%	14.6%	17.0%	18.2%	18.8%
RoTE	15.3%	16.5%	18.2%	19.6%	20.3%
RoWRAs	8.0%	8.2%	8.4%	8.7%	8.8%
Dividend Payout Ratio	67.7%	49.8%	47.4%	50.5%	49.8%
Efficiency Ratio	48.7%	47.1%	45.6%	44.4%	43.6%
Headline Cost/Income Ratio	NA	NA	NA	NA	NA
Total Non-Interest Inc / Operating Inc	49%	49%	51%	51%	50%
Market-Related Revenue / Total Revenues	0%	0%	0%	0%	0%
Provisioning Burden as % of PPP	9.9%	10.3%	11.4%	9.3%	8.9%
NPLs plus Foreclosed Real Estate / Loans	NA	NA	NA	NA	NA
Loan Loss Reserves / NPLs	42.8%	43.2%	41.7%	40.6%	40.6%
Loan Loss Reserves / Total Loans	1.0%	1.1%	1.0%	1.0%	1.0%
Provisions Expense / Average Loans	0.4%	0.4%	0.5%	0.4%	0.4%

Other Metrics

Income / Employee	NA	NA	NA	NA	NA
(Operating Expenses) / Employee	NA	NA	NA	NA	NA
Pre-Provision Profit / Employee	NA	NA	NA	NA	NA
Net Profit / Employee	NA	NA	NA	NA	NA

Company Sector

Banks-Multinational/Universal

Company Description

HSBC Holdings is the leading cross-border international banking group, with particular strength in Asia (ex Japan), but also with strong presence in the UK, the Middle East, and North America. The UK and Hong Kong are its two home markets, where it has market-leading full service offerings. Outside of the home markets, its strategic focus are international corporate and institutional banking, and international wealth and premier banking focused on the affluent segment.

Investment Rationale

HSBC has an enviable franchise in both Hong Kong and the UK and is well placed to capture structural growth opportunity, such as Asia Wealth Management. HSBC's expected cash yield compares favourably with both the UK/HK and Chinese banks, particularly when buyback restarts. Management is now targeting 17% ROTE or better in each of 2026, 2027, and 2028, which we think they can exceed.

Stock Data

Price to Book Value

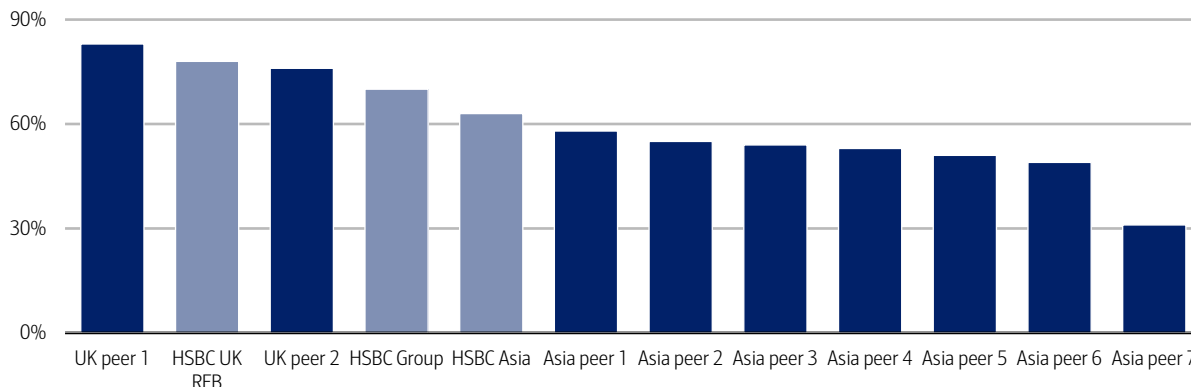
1.8x

Hong Kong – undisputed market leader

HSBC is the undisputed market leader in Hong Kong, with 7m Retail Banking and Wealth customers and 367k Commercial Banking customers – off a base of c.7.5m population. Impressively, the average banking relationship is 15+years. This (i) provides a powerful feeder into more profitable product segments (e.g., Premier Wealth, cross-border wholesale, and transaction banking) as clients themselves grow in wealth and complexity, and (ii) underlines its funding advantage.

Exhibit 1: Instant access / demand deposits to total customer deposits¹ (FY25)

HSBC Asia has the highest proportion of instant access/ demand deposits to customer deposits in the region



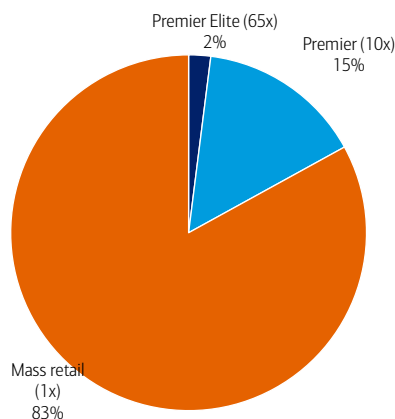
Source: May investor presentation

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Existing relationships with customers support sustainability of revenue growth and put HSBC in a good position to benefit from region-wide wealth generation.

Exhibit 2: Retail Banking and Wealth customer split

Revenue multiplier of Premier is 10x that of mass retail, while Premier Elite is 65x

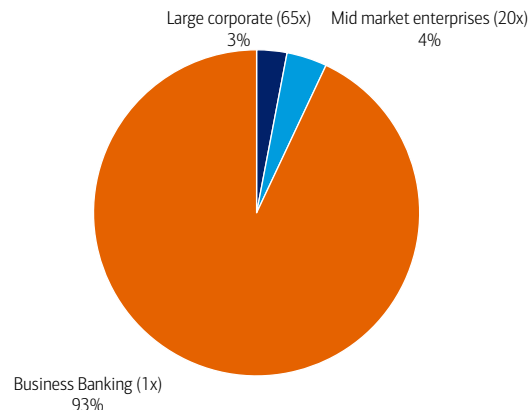


Source: May investor presentation

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Exhibit 3: Commercial Banking customer split

Revenue multiplier of mid-market enterprises is 20x that of business banking, while large corporates is 65x



Source: May investor presentation

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Mass retail is an important feeder of the Premier franchise, with c.40% of Premier acquisition driven by upgrades. In addition, within the existing Premier franchise, c.50% of customers currently do not have a Wealth product, which provides opportunities for deepening the relationship.

Interestingly, Hang Seng is a standout here – its wealth penetration is in the high 60s percent, above HSBC Hong Kong and the Group more broadly. This is despite Hang Seng having a less comprehensive product shelf than HSBC own brand (which is one area of synergy that management identified post privatisation).



Asia CIB – Regional franchise not to be underestimated

HSBC has an undisputed market position in Hong Kong, one of its two home markets. However, its franchise strength in the wider Asia region also should not be underestimated.

Further to the 'Asia buys Asia' trend, the Chinese government is also focused on supporting high-quality mainland enterprises going global, as evidenced by the 'Go Global Task Force' – which aims to set up a one-stop platform that fully leverages Hong Kong's advantages in internationalisation and global.

On the capital markets side, this could be manifested through sustainable IPO volumes in Hong Kong but could also come through via higher cross-border hedging and treasury demands. In any case, we expect HSBC to benefit, however the opportunities come through, given its market position in and outside of Hong Kong as well as its existing relationship with the largest companies in the region.

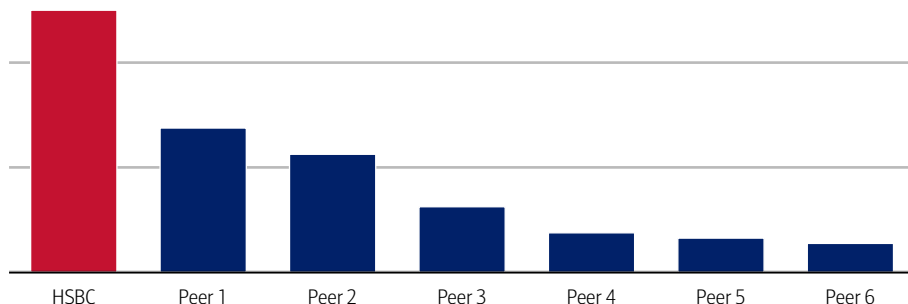
Leading CIB bank in Asia

HSBC is number 1 in the following products: Global Trade Solutions, Global Payment Services, FICC, and Leverage Acquisition Financing and number 2 in DCM and Securities Services. The strength of HSBC's product offering is amplified by its strong local knowledge, as it has been operating for >100 years in 13 out of its 18 Asian markets. These 18 markets capture c.85% of foreign direct investment (FDI) inflows into the region.

By wholesale and transaction bank revenue, HSBC's revenue is c.2.5x the average of its next three peers.

Exhibit 4: Asia Wholesale Transaction Banking total revenue, FY25

HSBC's revenue is c.2.5x the average of its next three peers



Source: May investor presentation

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Already has relationships with Asia's largest companies, including 95% of Asia's 200 largest companies

HSBC already banks the largest corporates in Asia. These include:

- 95% of Asia's top 100 financial institutions,
- 80% of global top 500 asset managers,
- 95% of Asia's 200 largest companies,
- 80% of MSCI China Tech 100 Index constituents,
- 50% of MNCs in India.

Asia IWPB – benefitting from wealth creation and intergroup collaborations

HSBC is already Asia's number-1 Wealth Manager and has market-leading positions from Premier (also number 1 in Asia) to Private Bank (top 2 in terms of balances). The wealth franchise also benefits from a pipeline of potential future affluent customers via the wholesale bank.

Wealth creation plus generational wealth transfer a supportive backdrop

The latest BCG Global Wealth Report forecasts a c7-9% wealth assets CAGR in Asia. On top of it, market estimates (McKinsey) suggest that c.USD5.8 trillion will be transferred between generations in APAC alone by 2030. HSBC Private Bank has relationship with 90% of the wealthiest families in the region.

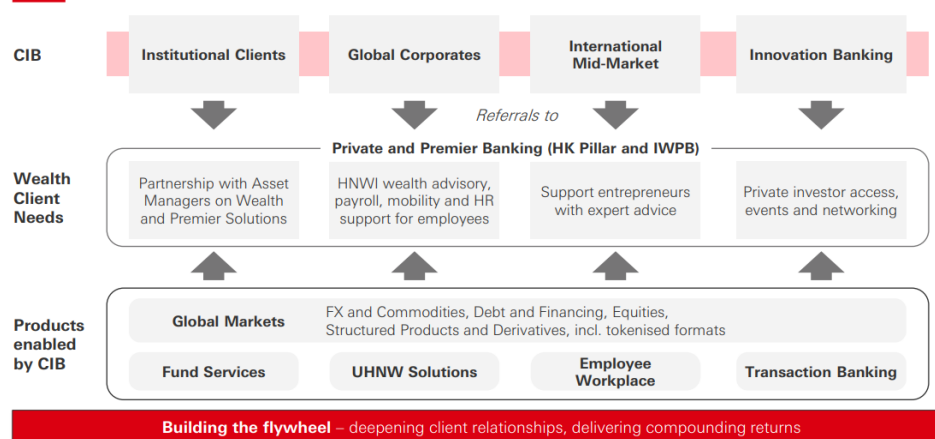
Unique advantage from intergroup collaborations and manufacturing capabilities

HSBC's wealth franchise benefits from a large internal pipeline – for example, its private bank has first access to its 5m Premier accounts and 1m wholesale clients. In addition, the product capabilities from the CIB also enables it to serve clients better – for example, in areas such as employee services and fund services.

Exhibit 5: Flywheel effect from CIB/ Wealth collaboration

Unique advantage from connectivity between leading CIB business and in-house Wealth manufacturing capabilities

CIB x Wealth collaboration



Source: May investor presentation

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Similarly, HSBC's wealth franchise benefits from having the number-1 insurer in Hong Kong, which could provide tailored products to the wealth business. HSBC Group 'owning' the entire value chain means that there is only one returns hurdle that needs to be met, instead of multiple hurdles at different points of the value chain.

The insurance business is recognized by Euromoney as the World's best insurance provider for Wealth Management.



Estimate changes

Exhibit 6: Estimate changes, 2026-2028

We have increased profits by c.3-4%, reflecting a higher rate environment and faster fee income growth

	2026E			2027E			2028E		
	New	Old	Change	New	Old	Change	New	Old	Change
Underlying P&L (\$m)									
Net interest income	38,250	38,250	0%	40,359	39,549	2%	41,634	40,524	3%
Non-Interest income	37,024	36,931	0%	39,059	38,547	1%	41,517	40,994	1%
Total income	75,275	75,181	0%	79,419	78,096	2%	83,151	81,519	2%
Operating costs	(34,358)	(34,358)	0%	(35,265)	(35,265)	0%	(36,270)	(36,270)	0%
Pre-provision profits	40,916	40,823	0%	44,154	42,831	3%	46,880	45,248	4%
Impairments	(4,679)	(4,673)	0%	(4,090)	(4,079)	0%	(4,196)	(4,184)	0%
Associates and JV	2,786	2,786	0%	2,895	2,895	0%	2,895	2,895	0%
Underlying PBT	39,024	38,936	0%	42,959	41,648	3%	45,580	43,960	4%
Income exceptionals	(711)	(711)		500	500		-	-	
Cost exceptionals	(1,070)	(1,070)		(200)	(200)		(200)	(200)	
Impairment exceptionals	-	-		-	-		-	-	
Stat profit before tax	37,243	37,155	0%	43,259	41,948	3%	45,380	43,760	4%
Tax	(7,597)	(7,580)		(8,825)	(8,557)		(9,258)	(8,927)	
Other equity holders	(1,183)	(1,183)		(1,183)	(1,183)		(1,183)	(1,183)	
NCI	(150)	(150)		(150)	(150)		(150)	(150)	
Statutory AP	28,312	28,242	0%	33,101	32,057	3%	34,790	33,500	4%
Banking NII	46,572	46,572	0%	48,681	47,871	2%	49,955	48,846	2%
Non Banking NII	28,703	28,609	0%	30,738	30,225	2%	33,195	32,673	2%
Profitability Metrics									
EPS (reported)	167	166	0%	200	194	3%	217	209	4%
EPS (underlying)	176	176	0%	198	191	3%	218	210	4%
Stat ROTE	17.4%	17.3%	0.0%	19.8%	19.2%	0.6%	20.1%	19.5%	0.6%
Underlying ROTE	18.3%	18.3%	0.0%	19.6%	19.0%	0.6%	20.2%	19.5%	0.6%
Key balance sheet items (\$m)									
Loans and advances to customers	1,024,796	1,022,558	0%	1,051,708	1,049,426	0%	1,081,678	1,079,328	0%
Tangible Equity	164,862	164,793	0%	170,077	169,485	0%	176,097	174,860	1%
TBVPS	979	979	0%	1,044	1,040	0%	1,114	1,107	1%
Capital and Distributions									
CET1 ratio	14.1%	14.1%	0.0%	14.0%	14.0%	0.0%	14.1%	14.0%	0.1%
Risk Weighted Assets	902,911	901,586	0%	928,305	926,954	0%	952,452	951,060	0%
DPS (c)	83.3	83.1	0%	99.9	96.8	3%	108.4	104.4	4%
Buyback announced	8,000	8,000	0%	11,000	11,000	0%	11,000	11,000	0%

Source: BofA Global Research estimates

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Banking NII: We increase our estimates for 2027 and 2028 by c.2%, reflecting market expectations of no rate cuts in either the US or the UK through end-2027.

Non-Banking NII: We revise up our estimates by c.2% for 2027 and 2028, primarily reflecting higher expectations in the Wholesale and Transaction Bank, as we see more structural revenue opportunities following management presentations in Asia.

Price objective basis & risk

HSBC (XHSBF)

We derive our PO using a sum-of-the-parts (SOTP) valuation where we value each business line separately using target P/E and implied P/TBV multiples based on 2027e earnings. At group level, this results in an implied cost of equity (COE) of c.11% assuming 2% growth. We incorporated the discounted value of cumulative dividends paid over the forecasting period, as well as excess capital to 14% CET1 (bottom end of management's target range). Using this approach, we calculate a PO of HK\$168.80.

Downside risks to our PO: (i) US interest rates falling faster than expected, (ii) US-China relations deteriorating more than expected, reducing global trade flows, (iii) cost of reorganisation being higher than expected.

Analyst Certification

I, Emma Xu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

BofA Securities is currently acting as Financial Advisor to HSBC Holdings Plc in connection with its proposed sale of its Custody Business in Germany to BNP Paribas S.A. Niederlassung Deutschland, which was announced on June 27, 2025.

BofA Securities is currently acting as Financial Advisor to HSBC Holdings Plc in connection with its proposed sale of its Fund Administration Business in Germany to BlackFin Capital Partners S.A.S., which was announced on July 11, 2025.

BofA Securities is serving as Financial Advisor to HSBC Latin America Holdings UK Ltd in the sale of HSBC Bank Uruguay SA to BTG Pactual Group, which was announced on July 28, 2025.

Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AIA Group Limited	AAIGF	1299 HK	Michael Li
	Bank of Chengdu	XBCQF	601838 CH	Wenqing Han, CFA
	Bank Of Communications Co-A	XNCTF	601328 CH	Winnie Wu
	Bank of Hangzhou	XBHCF	600926 CH	Wenqing Han, CFA
	Bank of Jiangsu	XBJCF	600919 CH	Wenqing Han, CFA
	Bank of Ningbo	XBINF	002142 CH	Wenqing Han, CFA
	Cathay FHC	XCIF	2882 TT	Michael Li
	China CITIC Bk	CHBJF	998 HK	Emma Xu
	China Construction Bank	CICF	939 HK	Winnie Wu
	China Construction Bank -A	XCTBF	601939 CH	Winnie Wu
	China Galaxy Securities Co Ltd	XCXYF	601881 CH	Susie Liu, CFA
	China Industrial Bank Co. Ltd.	INBLF	601166 CH	Emma Xu
	China International Capital Corporation	CNCF	3908 HK	Susie Liu, CFA
	China Life Insurance	CLJF	2628 HK	Michael Li
	China Merchants Securities	XMRKF	600999 CH	Susie Liu, CFA
	China Merchants Securities	CHMSF	6099 HK	Susie Liu, CFA
	China Pacific Insurance Group	CHPXF	2601 HK	Michael Li
	China Securities Corp	CSCFF	6066 HK	Susie Liu, CFA
	Chongqing Rural Commercial Bank	COGQF	3618 HK	Wenqing Han, CFA
	Chongqing Rural Commercial Bank - A	XCRQF	601077 CH	Wenqing Han, CFA
	CITIC Securities	CIIHF	6030 HK	Susie Liu, CFA
	CITIC Securities -A	CIISF	600030 CH	Susie Liu, CFA
	CTBC FHC	CTFHF	2891 TT	Susie Liu, CFA



Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	E.Sun FHC	ESUFF	2884 TT	Michael Li
	Fubon FHC	FUISF	2881 TT	Michael Li
	Futu Holdings	FUTU	FUTU US	Emma Xu
	FWD Group	XFGVF	1828 HK	Michael Li
	GF Securities	GFSEF	1776 HK	Susie Liu, CFA
	GF Securities	XMPQF	000776 CH	Susie Liu, CFA
	Guolian Minsheng Securities	XLTYF	601456 CH	Susie Liu, CFA
	Guotai Haitong Securities	GUOSF	2611 HK	Susie Liu, CFA
	Guotai Haitong Securities-A	XOQOF	601211 CH	Susie Liu, CFA
	Hithink Royalfush	XHIFF	300033 CH	Susie Liu, CFA
	HKEX	HKXCF	388 HK	Michael Li
	HSBC	XHSBF	5 HK	Emma Xu
	Huatai Securities	XHTLF	601688 CH	Susie Liu, CFA
	Huatai Securities	HUATF	6886 HK	Susie Liu, CFA
	Ind & Comm BK	IDCBF	1398 HK	Winnie Wu
	Ind & Comm BK -A	XIKNF	601398 CH	Winnie Wu
	PICC Group	PINXF	1339 HK	Michael Li
	PICC Property & Casualty	PPCCF	2328 HK	Michael Li
	Ping An Bank	XPABY	000001 CH	Emma Xu
	Ping An Insurance	PIAIF	2318 HK	Michael Li
	Ping An Insurance	XPSPF	601318 CH	Michael Li
	UP Fintech Holding	TIGR	TIGR US	Emma Xu
	ZhongAn Online P&C Insurance	ZZHGF	6060 HK	Michael Li

NEUTRAL

	Agricultural Bank of China	ACGBF	1288 HK	Winnie Wu
	Bank Of China	BACHF	3988 HK	Winnie Wu
	Bank Of China -A	BACZF	601988 CH	Winnie Wu
	Bank of Comm	BKFCF	3328 HK	Winnie Wu
	Bank of Nanjing	XBNMF	601009 CH	Wenqing Han, CFA
	Bank of Suzhou	XCZIF	002966 CH	Wenqing Han, CFA
	BOC Hong Kong Holdings Ltd	BNKHF	2388 HK	Winnie Wu
	Chailease	XCAHZ	5871 TT	Susie Liu, CFA
	China Galaxy Securities Co Ltd	CGXYF	6881 HK	Susie Liu, CFA
	China Intl Capital Corp - A	XCCIF	601995 CH	Susie Liu, CFA
	Jiangsu Changshu Rural Commercial Bank	XBJTF	601128 CH	Wenqing Han, CFA
	Postal Savings Bank of China - A	XPSSF	601658 CH	Winnie Wu
	Qfin Holdings	QFIN	QFIN US	Emma Xu
	Qfin Holdings	QFNHF	3660 HK	Emma Xu
	Standard Chartered	XCHBF	2888 HK	Emma Xu

UNDERPERFORM

	Agricultural Bank Of China-A	XACNF	601288 CH	Winnie Wu
	Bank of E Asia	BKEAF	23 HK	Emma Xu
	Bank of E Asia-A	BKEAY	BKEAY US	Emma Xu
	BOC International (China)	XLFTF	601696 CH	Susie Liu, CFA
	China CITIC Bk -A	CHCKF	601998 CH	Emma Xu
	China Everbright Bank	CEBCF	6818 HK	Emma Xu
	China Everbright Bank	XCBLF	601818 CH	Emma Xu
	China Life Insurance	XCNNF	601628 CH	Michael Li
	China MERCH BK -A	CIHKF	600036 CH	Winnie Wu
	China Merchants Bank	CIHHF	3968 HK	Winnie Wu
	China Minsheng Banking Corp Ltd	CGMBF	1988 HK	Emma Xu
	China Minsheng Banking Corp Ltd -A	CMAKF	600016 CH	Emma Xu
	China Pacific Insurance Group	XQJNF	601601 CH	Michael Li
	China Securities Corp	XCSIF	601066 CH	Susie Liu, CFA
	New China Life	NWWCF	1336 HK	Michael Li
	New China Life	XNWCF	601336 CH	Michael Li
	Orient Securities	XOBNF	600958 CH	Susie Liu, CFA
	Orient Securities	XONQF	3958 HK	Susie Liu, CFA
	PICC Group	XPIDF	601319 CH	Michael Li
	Postal Savings Bank of China	PSBKF	1658 HK	Winnie Wu
	Shanghai Pudong Dev Bank	SHVPF	600000 CH	Emma Xu
	Shanghai Rural Commercial Bank	XQZAF	601825 CH	Wenqing Han, CFA

RVW

Lufax Holding	LU	LU US	Emma Xu
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Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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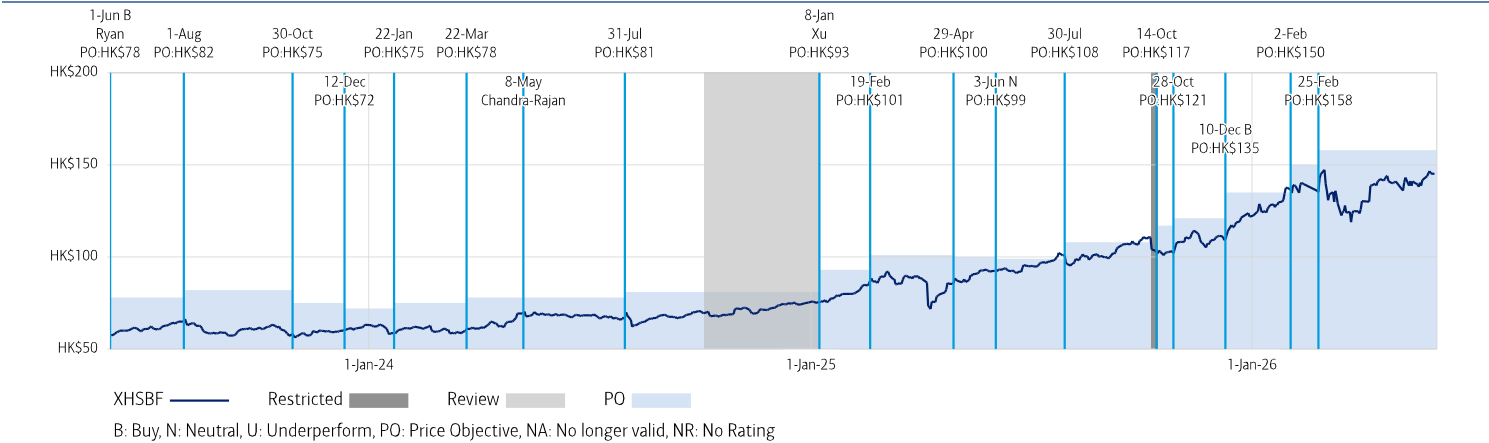
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Equity Investment Rating Distribution: Banks Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	117	53.42%	Buy	98	83.76%
Hold	59	26.94%	Hold	47	79.66%
Sell	43	19.63%	Sell	35	81.40%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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